

Northvale Demo Bank

Compliance Handbook

Version 8.0 - Effective January 1, 2026

This Handbook consolidates the Bank's core compliance obligations for retail banking operations, including Customer Identification (CIP), Customer Due Diligence (CDD), Enhanced Due Diligence (EDD), and the Anti-Money-Laundering (AML) monitoring program. It supersedes Version 7.2 issued July 1, 2024.

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The handbook is organized into five chapters. Chapter 1 covers identity verification for new customers at account opening. Chapter 2 introduces the CDD risk-rating model that drives review cadence. Chapter 3 sets out the rules-based and analyst-led AML monitoring program. Chapter 4 describes SAR and CTR filing obligations. Chapter 5 is the version history.

1. KYC / Customer Identification Program (CIP)

The Bank shall complete Customer Identification Procedures (CIP) for every new account within thirty (30) calendar days of the Account Opening Date. CIP requires collection and verification of: (a) legal name, (b) date of birth, (c) residential address, and (d) a government-issued identification number (Social Security Number for U.S. persons; passport or other approved identification for non-U.S. persons).

Where verification cannot be completed within the thirty-day window, the relationship shall be escalated to the Branch Manager and, if still unresolved at day sixty, the account shall be restricted and closed in line with the Account Closure Procedure.

Onboarding Flow Diagram

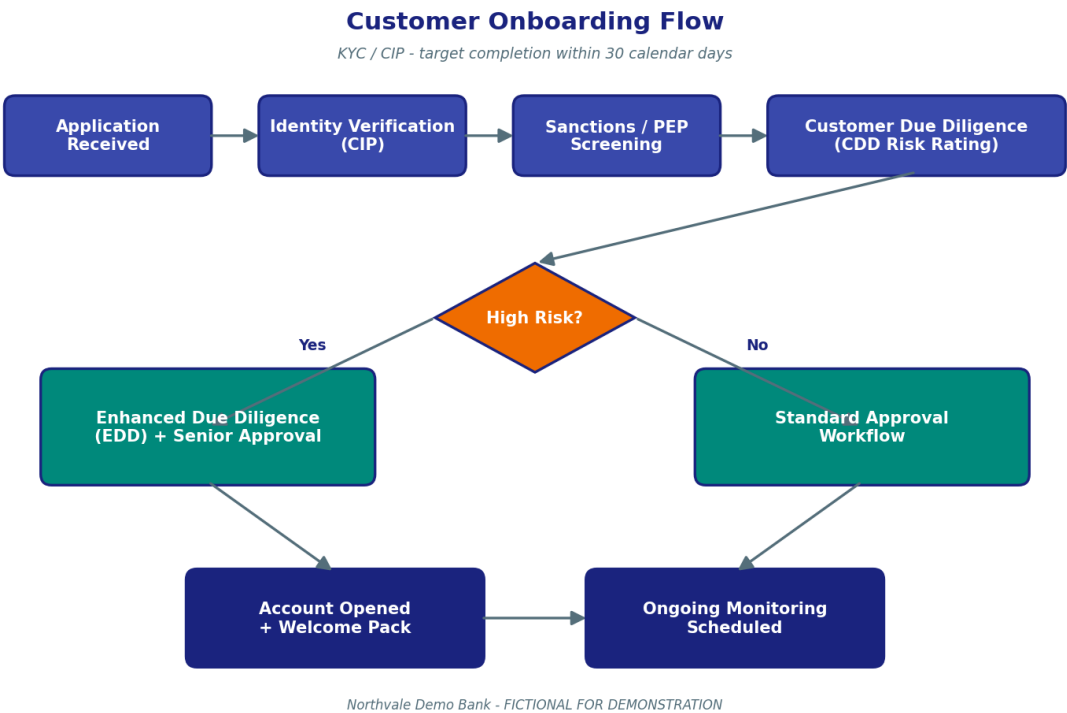


Figure 1.1 - Onboarding flow. The diagram shows the four sequential gates an applicant passes through (Application Received, Identity Verification, Sanctions/PEP Screening, and CDD Risk Rating), followed by a High-Risk decision branch that routes the file either to Enhanced Due Diligence with senior approval or to the Standard Approval workflow. All approved files terminate in Account Opened plus Ongoing Monitoring scheduling.

2. Customer Due Diligence and Risk Rating

At account opening the Bank shall assign each Customer a CDD Risk Rating of Low, Medium, or High. The rating drives the periodic review cadence and the depth of documentation required at each review.

The table below sets out the review cadence and documentation requirements by risk rating. Low-risk customers are reviewed every 24 months and require refresh of basic identification and address. Medium-risk customers are reviewed every 12 months with source-of-funds narrative. High-risk customers receive Enhanced Due Diligence every 6 months with senior compliance sign-off.

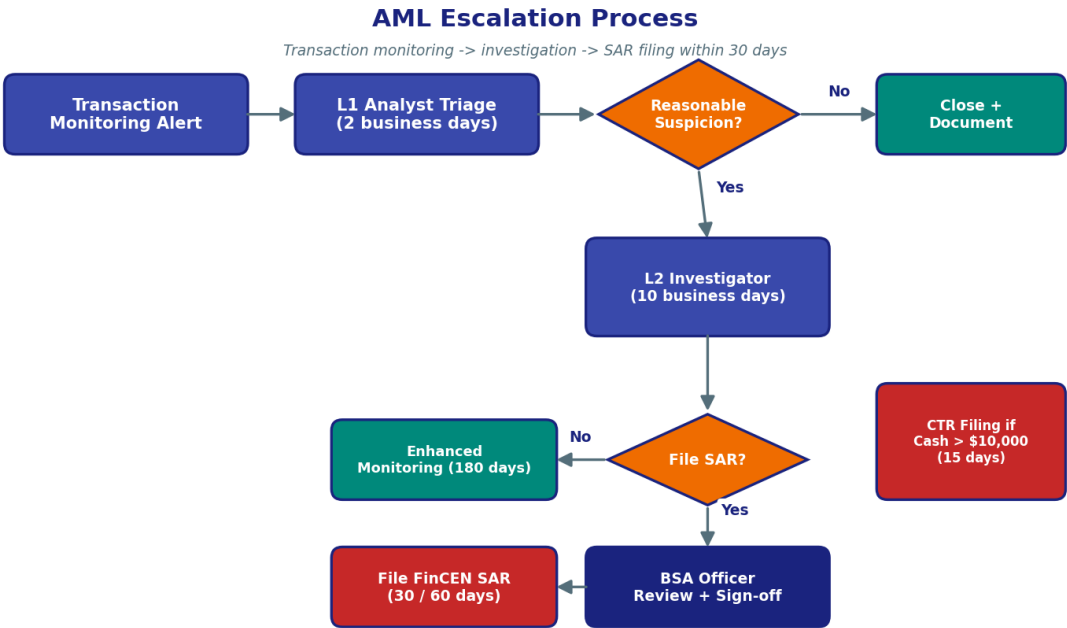
Risk Rating	Review Cadence	Documentation
Low (standard)	Every 24 months	ID, address, occupation
Medium	Every 12 months	Above + source of funds narrative
High (EDD)	Every 6 months	Above + senior compliance sign-off + ownership tree

In summary the cadence shortens as risk increases, and the documentation required at each touchpoint deepens correspondingly. The 24 / 12 / 6 month cycle is the canonical reference across all retail banking products and is cited in both the KYC policy and the AML ongoing-monitoring procedure.

3. Anti-Money-Laundering Monitoring

The Bank operates a hybrid AML monitoring program combining rules-based alerts (velocity, structuring, cross-border patterns) with quarterly analyst-led reviews. Every alert is triaged by a Level 1 (L1) Analyst within two (2) business days of generation. Alerts not closed at L1 are escalated to a Level 2 (L2) Investigator who has ten (10) business days to complete the case file.

AML Escalation Process



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Figure 3.1 - AML escalation. The diagram traces an alert from the monitoring system through L1 triage and an initial reasonable-suspicion decision. Alerts cleared at L1 are closed and documented. Alerts that meet the reasonable-suspicion threshold escalate to an L2 Investigator who decides whether to file a SAR; SARs are reviewed and signed off by the BSA Officer. Parallel CTR filing is triggered for cash transactions exceeding \$10,000.

4. SAR and CTR Filing Obligations

Suspicious Activity Reports (SARs) shall be filed with FinCEN within thirty (30) calendar days of the date the Bank initially detects facts that may constitute a basis for filing. Where no suspect has been identified, the deadline may be extended to sixty (60) calendar days. Currency Transaction Reports (CTRs) shall be filed within fifteen (15) calendar days of any cash transaction (or aggregated same-day transactions) exceeding ten thousand dollars (\$10,000).

Filing deadlines are summarized in the table below. The 30/60-day SAR window and the \$10,000 CTR threshold are referenced consistently in the AML Procedures wiki page and the Complaint Handling policy (for complaints that surface suspected financial crime).

Report	Threshold	Filing Window
SAR (with suspect)	Reasonable suspicion	30 calendar days
SAR (no suspect)	Reasonable suspicion	60 calendar days
CTR	Cash > \$10,000 same day	15 calendar days

5. Version History and Sign-off

Version	Effective Date	Notes
8.0	January 1, 2026	Aligned 24/12/6 CDD cadence; restated SAR/CTR windows
7.2	July 1, 2024	Added cross-border velocity rules
7.1	January 1, 2024	Updated CIP for digital onboarding
7.0	April 1, 2023	Reorganized chapters; introduced EDD

Approved by the Northvale Demo Bank Chief Compliance Officer, December 15, 2025. This Handbook is fictional and exists solely to support a GenAI RAG capstone demonstration.